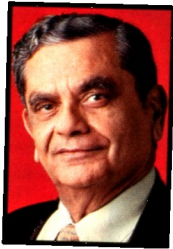


By Jagdish Bhagwati

A Skewed Blame Game

While India is being blamed for the logjam on Doha, the real culprits are the US and the EU



When the Potsdam talks among the G-4—the US, the European Union, India and Brazil—on Doha collapsed last month, US Trade Representative (USTR), Susan Schwab, squarely laid the blame on India as the villain of the piece. She did have the smarts to say that Brazil also had been a problem: but Brazil was alleged to have been bamboozled by India, and was at most

an accessory to the crime.

On the public relations front, however, Schwab may have gained a march over Kamal Nath, India's most capable minister. She had been bad-mouthing India worldwide for months. Many academics, politicians and media were busy repeating her allegations that India was offering no concessions and was the protectionist. To them, the scapegoating of India when Potsdam failed was vindication of this blitz. By arriving late for the important Potsdam talks and leaving early, Minister Nath may have unwittingly provided legitimacy to USTR propaganda, by making India look unreasonable and uninterested in Doha.

The truth of the matter, however, is that it is not the protectionism of India and Brazil that is holding up Doha; rather it is the agricultural support that the US (and the EU) cannot relinquish. To understand this clearly, it is important to remember that, contrary to the popular view, the Doha Round made substantial progress at successive meetings at Cancun in 2003 and Hong Kong in 2005 and that the G-4 negotiations are the endgame.

The "Singapore issues", which included legitimate proposals on competition policy and investment but were strongly opposed by some developing nations and most NGOs, were abandoned by Pascal Lamy, then the EU trade commissioner, at Cancun. The demand to have export subsidies in agriculture proscribed was agreed to at Hong Kong. So were demands, first at Cancun and then more fully at Hong Kong, for the availability of easier access to generics by the poor nations. The demands of the least developed countries to have virtually free market access without du-

ties and restrictions were also conceded at Hong Kong pretty much by the US and Japan, as earlier by the EU in its Everything but Arms initiative: not all was granted but nearly all was.

With many contentious issues settled or taken off the table, and many players placated, the endgame was then among the four "big players": the US, the EU, Brazil and India. Each had to make substantive trade-barrier and subsidy concessions which would close the Doha Round.

The essential outlines of the deal among the G-4 were clear. The EU had to give on agriculture where its barriers and subsidies were huge. With negligible comparative advantage in agriculture, it did not seek concessions in this sector from India and Brazil, but rather wanted reciprocal concessions in manufactures and services. The problem with the US was that it had a strong farm lobby that would not permit meaningful reduction in the substantial US subsidies simply in exchange for concessions in manufactures and services; it sought "sectoral reciprocity" within agriculture itself.

But the problem is that the USTR, reflecting successful lobbying, has wound up making maximalist demands and minimalist concessions: a situation that is unacceptable to India and Brazil. Regarding concessions, the US negotiating position is almost pathetic. Even as the G-4 talks were in progress at Potsdam, the agriculture subcommittee of

